

wife's charitable foundation. Together, these four letters promised to give away a combined \$6 billion.²

The fifth letter was the surprise. Buffett signed it and handed it to the wife of the only man on the planet who was richer than himself, Bill Gates. With that last letter, Buffett pledged over \$30 billion in Berkshire Hathaway stock to the world's largest philanthropic organization, the Bill and Melinda Gates Foundation. It was by far the single greatest amount of money ever given away, miles bigger than the contributions by Andrew Carnegie (\$7.2 billion when adjusted to current dollars), John D. Rockefeller (\$7.1 billion), or John D. Rockefeller Jr. (\$5.5 billion).

In the days that followed, there were countless questions. Was Buffett ill, perhaps even dying? "No, absolutely not," he said. "I feel terrific." Did his wife's passing have anything to do with his decision? "Yes, it does," confessed Buffett. It was well known that Susie would have inherited Buffett's fortune for the Buffett Foundation. "She would have enjoyed the process," he said. "She was a little afraid of it, in terms of scaling up. But she would have liked doing it, and would have been very good at it."³

But after his wife's death, Buffett changed his thinking. He realized that the Bill and Melinda Gates Foundation was a terrific organization, already scaled to handle the billions of dollars Buffett was going to send its way. They "wouldn't have to go through the real grind of getting to a megasize like the Buffett Foundation would—and they could productively use my money now," he said. "What can be more logical, in whatever you want done, than finding someone better equipped than you are to do it?"⁴

It was quintessential Buffett. Rationality prevailed. At Berkshire Hathaway, Buffett reminds us there are scores of managers running businesses that do a much better job of running their operations than he ever could. Likewise, the Bill and Melinda Gates Foundation would do a better job of managing his philanthropy than he could do himself.

Bill Gates said of his friend, "Warren will be remembered not only as the greatest investor, but the world's greatest investor for good."⁵ This will most certainly be true. But it is important to remember that the good his philanthropic generosity will do was made possible in the first place by his unparalleled investing skill. When Buffett handed the letter and check for \$30 billion to Melinda Gates, I immediately thought back to another check